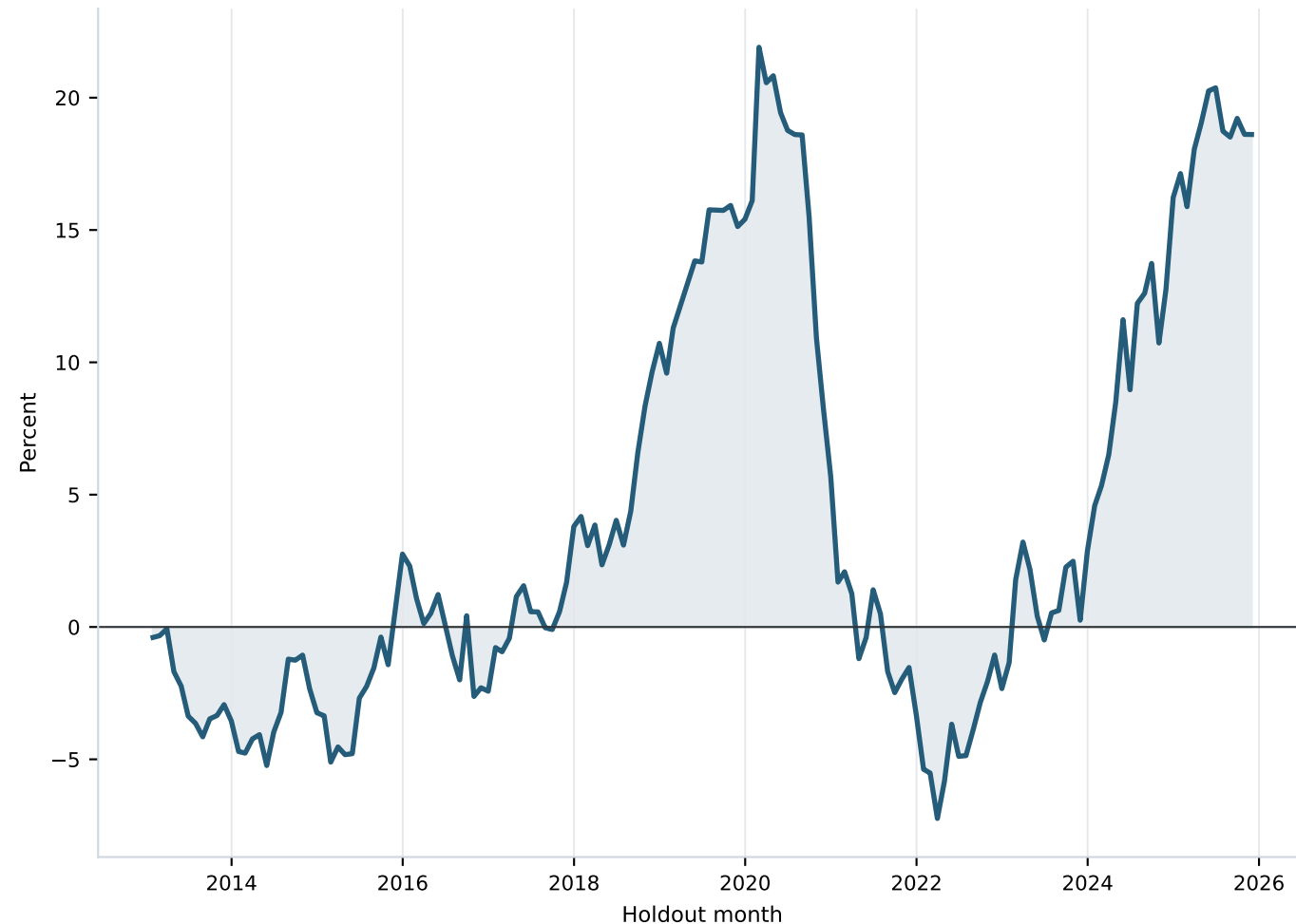


From Option-Implied Tail Insurance to Cross-Sectional Returns

OptionMetrics x CRSP x Compustat, U.S. equities, holdout 2013-2025

Cumulative net return



Net return
1.51%
annualized

Net Sharpe
0.32
after costs

Alpha
2.13%
FF5+UMD ann.

Turnover
0.19
monthly avg.

Raw vs incremental signal

